



business decision. But they will have to pay overtime and ensure rest for workers as prescribed in the Codes. I would view formalisation also not just as a cost to industry, but as something that will ensure a more satisfied workforce and enable retention. The design of the Pradhan Mantri Vikas Bharat Rozgar Yojna also incentivises retention as the employer and employee get incentives only once they stay for the six-month period.

We expect more domestic and foreign investment and more employment. Even on

exports, the provisions on social security and welfare now align with what many developed countries have. This should also encourage our exports because we are in sync with developed countries' standards.

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Employers are concerned about certain provisions like payment of gratuity and computation of salary. Could you provide some clarifications?

On gratuity, the eligibility of five years continues, except that now for FTE workers,

it will kick in after one year of service. There is no change in how it is calculated, the only change is on account of the change in the definition of wages. The definition of wages now mandates that the basic wage and the retaining allowance should be 50% of the cost to company and if allowances are more than 50% that, they get added to the basic wage. In certain cases where the allowances were artificially high and the basic was artificially low, there will be some correction. What is important is that the definition is uniform across the four Codes, which will provide clarity, predictability and transparency.

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Certain trade unions continue to have concerns on issues including overtime, working hours, women working at night, and minimum wages. Your thoughts.

We are trying on a daily or real-time basis to clarify concerns through our social media handles. We are trying to engage on a regular basis with workers and unions through our Chief Labour Commissioner and have also suggested this to states. For women workers,

the Codes remove all kinds of discrimination, which hindered their employment and ability to get equal pay for equal work in the past. The Codes enable women to work at night, but their consent is essential and there must be adequate safety measures like transportation, CCTV cameras. For women, there are certain other provisions, apart from the maternity benefits, including work from home post maternity in certain industries. The grievance redressal committees must have proportionate representation of women, and there is a right for creches.

The way minimum wages will pan out is that there is a provision for a statutory floor wage now, and wages cannot be fixed below that minimum wage by the Centre or states. The floor wage will be fixed through a process that would include a committee of experts and take the advice of the Central Advisory Board, which will have equal representation of workers and employers. On overtime, if workers work for 12 hours for four days, then they have to be provided three days of rest. The 48-hour limit per week is sacrosanct. If one has to work beyond 48 hours, then overtime kicks in. **BT**

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